

Laid Off on H-1B in 2026?

The US Tax Checklist Every Returning Indian Professional Needs



The layoffs of 2026 have been swift, often brutal, and deeply personal — especially for the tens of thousands of Indian professionals on H-1B visas who built careers, lives, and financial futures in the United States.

If you are one of them, and you are considering returning to India, there is something most people miss in the chaos of immigration timelines and job searches: your obligations to the IRS do not end when your flight takes off.

This article is for you — part advisory, part checklist. The goal is simple: help you leave the US with your financial life intact, your taxes in order, and your options open.



The Clock Is Ticking

After a layoff, you have 60 days of grace period before you fall out of legal H-1B status. Immigration is urgent. But your financial and tax planning must run in parallel — not after.

1. Your Tax Status Changes the Moment You Leave

Most H-1B holders spend years filing as US tax residents — meaning they reported worldwide income to the IRS. Leaving mid-year changes that, and the IRS has a specific framework for it.

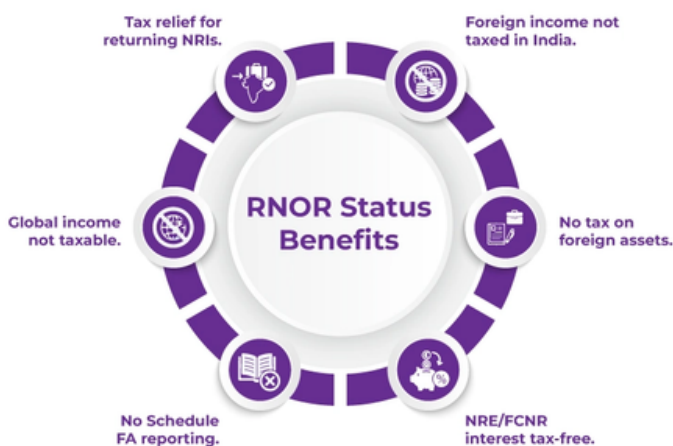
Dual-status taxation

If you depart the US before December 31, you become a dual-status taxpayer for that year — taxed as a resident from January 1 through your departure date, and as a non-resident from departure through year-end.

This means:

- For the resident portion, all worldwide income is taxable in the US
- For the non-resident portion, only US-source income is taxable
- You cannot claim the standard deduction on a dual-status return

A dual-status return is significantly more complex than a standard 1040. Errors here — including incorrectly filing a full-year resident return just to claim the standard deduction — are non-compliant and can attract scrutiny. Get this filed correctly.



If you have been outside India for many years on H-1B, you may qualify as Resident but Not Ordinarily Resident (RNOR) on return. Under RNOR, foreign-sourced income — including gains on your US stocks — may not be taxable in India for 2-3 years. This is significant. Evaluate RNOR eligibility before you file in either country.



2. Your 401(k) and IRA: Don't Cash Out in a Hurry



This is one of the most expensive mistakes returning professionals make. When you withdraw from a 401(k) or IRA before age 59½:

- The withdrawal is taxed as ordinary income at your marginal federal rate
- A 10% early withdrawal penalty applies on top
- State income tax may apply depending on your state

In practice, you can lose 35–45% of the balance in a single decision. There is rarely a good reason to cash out.

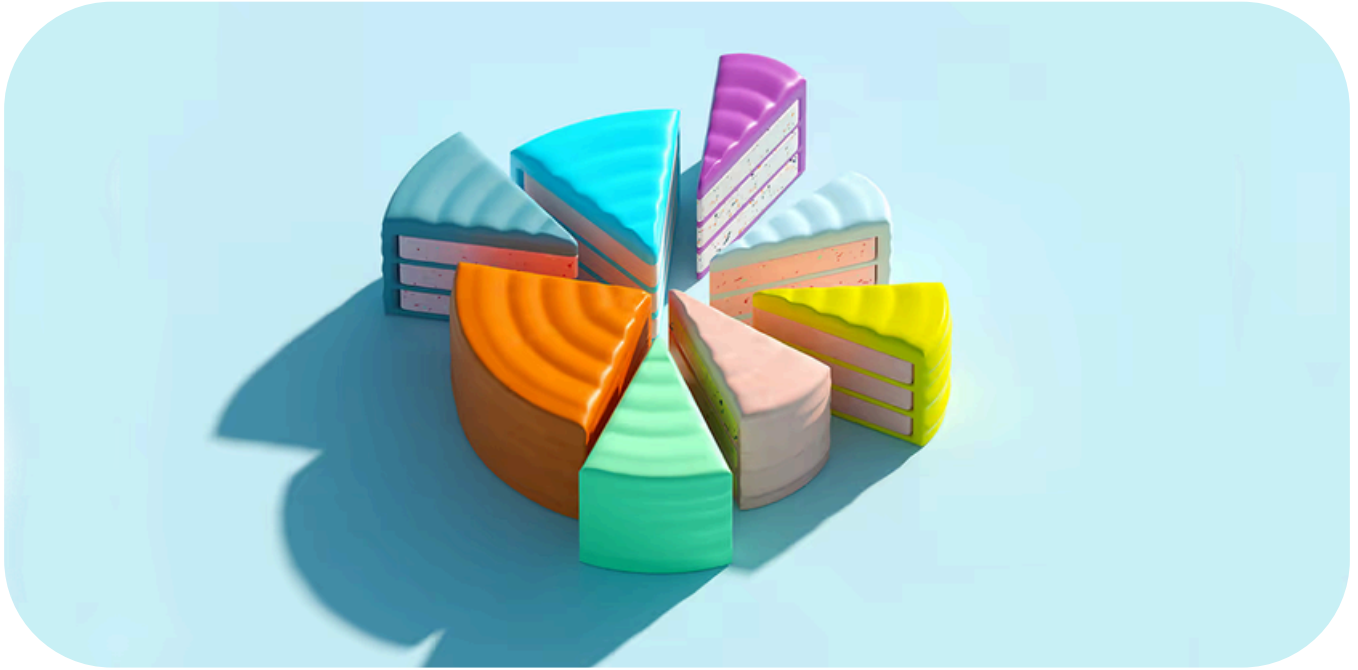
The better path

- Roll over your 401(k) into a Traditional IRA — this is not a taxable event
- Choose a non-resident-friendly custodian such as Fidelity or Schwab, who allow account access from outside the US
- If you already have an IRA, confirm your custodian's non-resident policy before leaving

You can manage this account from India, take distributions when strategically optimal (ideally in lower-income years), and benefit from the India-US DTAA to reduce withholding tax on distributions.



3. RSUs and Stock Options: Hard Deadlines Apply



Equity compensation often represents a significant portion of total compensation for tech professionals. Before you depart, review every grant document carefully.

What happens to your equity

- Unvested RSUs: Unvested RSUs are typically forfeited on your last day of employment
- Vested RSUs: Vested RSUs may need to be sold or transferred — check plan rules and timing
- ISOs (Incentive Stock Options): ISOs must usually be exercised within 90 days of separation — missing this window converts them to NQSOs or causes forfeiture. AMT implications apply.
- ESPP: ESPP contributions may be refundable or need to be exercised — confirm with HR

Once you become a non-resident, gains on the sale of US stocks are generally not subject to US capital gains tax — but this must be carefully coordinated with your RNOR window in India. Timing of equity sales can make a material difference to your total tax burden.

4. US Real Estate: Sell Before You Leave If You Can

Owning property in the US as a non-resident comes with a set of tax rules that are significantly less favourable than those available to residents.

Section 121 – use it while you can

If the home has been your primary residence for at least 2 of the last 5 years, you can exclude up to \$500,000 of capital gains from US tax under Section 121. This exclusion is available only to US residents. Once you become a non-resident, it is gone.

FIRPTA – what happens if you sell as a non-resident

If you sell US property after you have become a non-resident, the buyer is required to withhold up to 15% of the total sale price and remit it to the IRS. You can eventually reclaim any overage by filing Form 1040-NR, but your funds are tied up in the interim.

If you retain the property and rent it

You must file a Section 871(d) election with your return to treat rental income as Effectively Connected Income (ECI), taxed at graduated rates. Without this election, gross rental income is taxed at a flat 30% – with no deduction for expenses, depreciation, or mortgage interest.



5. Investment Accounts and the Non-Resident Shift

The tax treatment of your US investment accounts changes materially once you become a non-resident. Here is what to watch for:

- Dividends: US dividends are generally taxed at 25% for Indian residents under the India-US DTAA (versus the 15% qualified dividend rate for residents)
- W-8BEN: File a W-8BEN with every brokerage and financial institution to claim treaty benefits and avoid the default 30% withholding rate
- Estate tax exposure: As a non-resident non-citizen, your US estate tax exemption drops to \$60,000 – compared to \$13M+ for US citizens. Assets above this threshold are exposed to estate tax at up to 40% on death. Review beneficiary nominations and consider holding structures.



Preserve Two Accounts

As a non-resident, not all US brokerages will allow continued account access. Fidelity and Schwab are currently non-resident-friendly. Maintain accounts with at least two providers so you have a fallback if one changes its policy.



6. Don't Burn Your US Financial Footprint



Many people returning to India close everything in a hurry. This is a mistake if you have any intention of returning to the US – or simply want to preserve financial flexibility.

- Keep at least one US credit card with no annual fee open and lightly active. Closing accounts collapses your credit score and makes future US financial life much harder to rebuild.
- Maintain at least two US checking accounts with non-resident-friendly banks such as Bank of America or Chase. Enable online access and two-factor authentication before you leave.
- Update your address with the IRS using Form 8822. Also list your new Indian address on your dual-status return filed the following April.
- Retain your SSN and keep copies of all tax returns, pay stubs, and immigration history. These will be required if you apply for a future US visa.



7. Moving Funds to India: Do It Right



When you are ready to transfer funds from the US to India, there is a tax-smart sequence to follow:

- Transfer funds from your US bank account to an Indian bank account — do not use your NRO account for this.
- Before receiving funds from abroad, re-designate your NRE or NRO account as a resident account at your Indian bank.
- Consider opening a Resident Foreign Currency (RFC) account — this allows you to hold funds in USD indefinitely, free of FEMA restrictions, with no obligation to convert to INR immediately.

The RFC account gives you currency flexibility. If you expect the INR to weaken or plan to return to the US at some point, holding USD in an RFC account makes strategic sense.



A Transition, Not a Setback

Being laid off on an H-1B is disorienting. The 60-day window, the immigration uncertainty, the distance from home — it is a lot to process at once.

But returning to India does not have to mean leaving your US financial life in disorder. With the right planning, you can protect your retirement savings, preserve your investment accounts, manage your equity correctly, and keep doors open for the future.

The difference between a chaotic exit and a clean one is usually a few well-timed decisions — made before you board the flight.

How TrueLedger Can Help

We work with Indians returning from the US on dual-status tax returns, RNOR planning, US investment account structuring, and cross-border financial transitions. If you are navigating this, reach out — early planning is always less expensive than fixing mistakes after the fact.



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